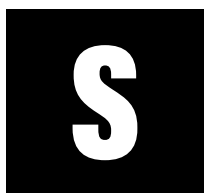


THE 45-DAY ITCH



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SOMETIMES THE MOST helpful of things can have an unintentional fallout. Take the 45-day payment rule for MSMEs for instance. With preparation underway for the Union Budget 2024-25, finance ministry officials are trying to understand the unintended impact of the new provision under the Income Tax Act that mandates payments to micro, small and medium enterprises (MSMEs) within a 45-day time period. According to sources, some relief may be on the cards to ensure that payments are not tied up to the 45-day window.

Finance Minister Nirmala Sitharaman had—at an interaction with MSMEs in Ludhiana on May 29—said that if MSMEs do not want the 45-day payment rule, then the Centre is willing to reconsider it.

The genesis of the issue lies in the Finance Act

A NEW PROVISION IN THE INCOME TAX ACT THAT MANDATES PAYMENTS TO MSMEs WITHIN 45 DAYS HAS CAUSED UNANTICIPATED PAIN FOR SMALL BUSINESSES. WILL THE UNION BUDGET 2024-25 FIX THIS PROBLEM?

BY SURABHI AND PALAK AGARWAL

THE BANE OF DELAYED PAYMENTS

- 1** When MSMEs are not paid within 45 days as per MSMED Act, they are called delayed payments
- 2** Delayed payments block working capital and cause production challenges for MSMEs
- 3** According to estimates, ₹10.7 lakh crore is blocked in delayed payments to MSMEs
- 4** MSMED Act says buyer has to pay compound interest with monthly resets at 3x bank rate